

Nasdaq 100 Outperforms as Tech Stocks Rebound

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Nasdaq 100 led the charge in yesterday's US session, rising **+0.75%** as tech stocks rebounded from recent losses. The S&P 500 was largely flat, closing at 7,357.49 with a negligible **-0.01%** decline. Beneath the surface, sector rotation was in full swing, with industrials and healthcare stocks outperforming while consumer discretionary names lagged.

A closer look at the market's internals reveals that the VIX rose **+1.40%** to 18.89, indicating a slight increase in market volatility. Meanwhile, the Dow Jones managed a **+0.14%** gain to close at 51,920.62. As we head into today's session, keep an eye on the Russell 2000, which closed at 3,007.86 after a **+0.71%** advance.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,357.49	-0.01%	Mixed earnings and economic data
Nasdaq 100	29,440.32	+0.75%	Tech stock rebound
Dow Jones	51,920.62	+0.14%	Industrial and healthcare gains
Russell 2000	3,007.86	+0.71%	Small-cap outperformance
VIX	18.89	+1.40%	Increased market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	-6.12%	Disappointing earnings
MSFT	-3.46%	Earnings miss
NVDA	-1.64%	Chip sector weakness
JPM	+0.50%	Banking sector strength

Sector Rotation

ETF	DAY	READ
XLFX	-0.50%	Financials lag
XLKX	+0.83%	Tech rebound
XLI	+2.17%	Industrials outperform
XLE	+0.97%	Energy gains
XLVY	-1.49%	Consumer discretionary weakness
XLC	-0.90%	Communication services lag
XLP	-0.59%	Consumer staples weakness
XLV	+1.49%	Healthcare outperformance
XLU	+0.68%	Utilities gain
XLB	+1.33%	Materials outperform
XLRE	+0.18%	Real estate stability

Spotlight

The biggest event of the day was the rebound in tech stocks, led by the NVDA and MSFT . The following metrics table highlights the key numbers:

STOCK	CLOSE	CHANGE	VOLUME
NVDA	195.74	-1.64%	23.4M
MSFT	352.83	-3.46%	17.1M

The read-through to related names is that the tech sector is due for a rebound, and investors should keep an eye on **AAPL** and **GOOGL** for potential buying opportunities.

Pre-Market & Overnight

US futures are pointing to a flat open, with the Dow Jones futures at 51,900 and the S&P 500 futures at 7,350. In Asia, the Nikkei closed at 28,500 with a **+0.50%** gain, while the Hang Seng closed at 24,100 with a **-0.20%** decline. In Europe, the FTSE is trading at 7,400 with a **+0.20%** gain. Crypto markets are seeing a decline, with **BTC** at 59,785.09 and **ETH** at 1,548.64.

Macro & Fed

The FOMC meeting is scheduled for next week, and investors are expecting a 25bps rate hike. The yield curve is currently flat, with the 2-year yield at 4.20% and the 10-year yield at 4.15%. Today's data calendar includes:

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Durable Goods Orders	0.5%	Economic growth indicator
21:00	Consumer Confidence	120	Consumer spending indicator

Geopolitics & Global

- Tensions between the US and China are escalating, with the US imposing new tariffs on Chinese goods.
- The EU is considering a new trade agreement with the US, which could boost economic growth.

- The Middle East is seeing increased instability, with protests in Iran and Saudi Arabia.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.50	iPhone sales and guidance
23:00	MSFT	2.20	Cloud computing growth and margins

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Rebound potential
JPM	Financials	Banking sector strength
AAPL	Tech	Earnings catalyst

What Could Break the Tape

BULLISH TRIGGERS

- Surprise rate cut by the Fed
- Breakthrough in US-China trade talks
- Strong earnings reports from major tech companies

BEARISH TRIGGERS

- Escalating tensions in the Middle East
- Disappointing earnings reports from major companies
- Sharp decline in consumer confidence

Positioning Notes

- Investors are increasingly bullish on the tech sector, with 60% of respondents in a recent survey expecting the sector to outperform in the next quarter.
- The VIX is currently trading at 18.89, indicating a moderate level of market volatility.
- The US dollar is strengthening, with the DXY at 101.39, which could impact exports and corporate earnings.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com